

you choose. Also, some types of money funds are slightly riskier than others.

The choices are detailed below, divided into two basic categories: taxable money funds and tax-exempt money funds. Although you don't need to memorize all the specs, you'll probably want to refer to this information when you're ready to choose a money fund.

- **Taxable money market funds.** If you are just starting out and are in a low tax bracket, these make the most sense for you. With all taxable money market funds, you're required to pay federal taxes on the dividends you earn (although in some cases, you may be exempt from certain state or local taxes on those dividends). Here are the major subcategories (basically the gory details) of taxable money funds:
 - » *U.S. Treasury money funds* invest in short-term federal government IOUs called Treasury bills. These are the money funds that are closest (in terms of safety) to bank accounts since Treasury bills are issued by Uncle Sam and are said to be backed by the "full faith and credit" of the U.S. government. (This basically means that the government promises to pay you everything you're entitled to, even if it has to raise taxes or print more money to do so.) The dividends you receive will be taxed by the federal government; they may be free from state and local taxes, depending on which state you live in.
 - » *U.S. government money funds* invest in various types of money market instruments issued by the U.S. government itself and/or by federal agencies like the Small Business Administration. Because U.S. government agency securities are backed only by the "moral obligation" of the federal government, not by its "full faith and credit," they're considered just a little bit riskier than U.S. Treasury bills. To